

Multiple Choice

1. **Answer:** A

Options: A) the minimum of average total cost; B) the point where average variable cost is equal to marginal cost; C) the profit-maximizing quantity; D) the maximum of average variable cost; E) the point of equilibrium between supply and demand

Note: Correct option: A - the minimum of average total cost

2. **Answer:** A

Options: A) when price goes up supply goes up; B) price and supply have no correlation; C) when supply goes up, demand goes down; D) demand creates its own supply; E) when demand goes up, supply goes down

Note: Correct option: A - when price goes up supply goes up

3. **Answer:** D

Options: A) more effective in X because the policy will increase net exports.; B) more effective in X because the policy will decrease net exports.; C) equally effective in X and Y.; D) less effective in X because the policy will decrease net exports.

Note: Correct option: D - less effective in X because the policy will decrease net exports.

4. **Answer:** D

Options: A) saving remains constant.; B) consumption decreases by more than \$X.; C) saving increases by exactly \$X .; D) saving increases by less than \$X .; E) consumption decreases by less than \$X.

Note: Correct option: D - saving increases by less than \$X .

5. **Answer:** E

Options: A) The invention of automated systems that have made traditional farming obsolete; B) Emergence of widespread diseases that make farming untenable; C) Shift in consumer preferences towards synthetic foods; D) A global decrease in the demand for agricultural products; E) People seek the higher incomes of the city, shorter hours, and better social life in town

Note: Correct option: E - People seek the higher incomes of the city, shorter hours, and better social life in town

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Bill rate is 7.96%, Coupon issue yield is 8.24%'

7. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Real incomes will fall.'
8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Changing the reserve ratio'.

Long Form Response

11. **Answer:** The division of labor is a plan of production that separates work into many different tasks to take advantage of the specialization of labor.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** The price level drops by 10%. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key